

SECTION 3: GOVERNMENT BUDGET

3.1 PRINCIPLES OF TAXATION

MARKING SCHEME

1994/CE/II/46 B	2000/CE/II/40 C	2006/CE/II/41 B (59%)	2009/CE/II/41 C (92%)	2020/DSE/I/39 D
1996/CE/II/40 A	2002/CE/II/39 B (62%)	2007/CE/II/41 B (deleted)	2013/DSE/I/35 A (70%)	2022/DSE/I/40 A
1997/CE/II/47 A	2003/CE/II/44 D (54%)	2009/CE/II/40 D (41%)		

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1990/CE/I/5(a)

Equity –

the rich should pay more than the poor i.e. the tax should be based on the ability to pay (proportional taxation / progressive taxation)

Certainty –

the government should state with certainty the tax obligation of the tax-payer, and not arbitrarily interpret or change it

Convenience –

the payment of tax should be convenient to the tax-payer and the government

Economy –

the cost of collecting and administering the tax should be small in relation to the total tax revenue raised (2@, max: 6)

[Mark the **FIRST THREE** points only.]

1993/CE/I/5(b)(ii)

Equality principle –

property-tax-payers pay taxes in proportion to their rental incomes.

Convenience principle –

the payment of property tax is convenient to the taxpayers.

Certainty principle –

property-tax-payers know their tax obligation clearly.

(3@, max: 6)

[Mark the **FIRST TWO** points only.]

1999/CE/I/10(c)

(i) No, because

(according to the source principle,) the income earned is not derived from H.K.

(1)

(1)

(ii) Airport departure tax.

The certainty principle / convenient principle / economy principle.

(1)

(1)

2002/CE/I/8

(Equality-)

The tax payments should be in proportion to the taxpayers' income.

(Certainty-)

The tax obligation (e.g., the time of payment, the manner of payment and the tax amount) of the taxpayers should be stated with certainty and not be arbitrarily interpreted or changed by the government.

(Convenience-)

The time and methods of the tax payment should be convenient to the taxpayers.

(Economy-)

The administrative costs of tax collection should be as small as possible relative to its yield.

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2005/CE/I/8

(Equality-)

The tax payments should be in proportion to the taxpayers' income.

(2)

(Certainty-)

The tax obligation (e.g., the time of payment, the manner of payment and the tax amount) of the taxpayers should be stated with certainty and not be arbitrarily interpreted or changed by the government.

(2)

2010/CE/I/6

(Equality / Equity:) the tax payments should be in proportion to the tax-payers' income.

(2)

(Economy:) the administrative costs of tax collection should be as small as possible.

(2)

2014/DSE/II/6(a)

No, because

according to the source principle, income not derived from HK would not be taxed by the HK government.

(1)

(1)

2017/DSE/II/6(b)

Standard tax rate of salaries tax / profits tax / property tax, because

every taxpayer has to pay the tax amount in the same proportion to these different sources (salaries / profits / rental income) of his income.

(2)

[Mark the **FIRST** point only.]

2018/DSE/II/6(b)

Equality: The new tax is no longer proportional, meaning that it is inconsistent with the equality principle.

(2)

Economy: The new tax system may incur a slightly higher administration cost, rendering it less in line with the economy principle.

(2)

[Mark the **FIRST** point only.]

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(a) Principles:

Convenience: Consistent, because online payment can be made easily.

Equality: Inconsistent, because people with higher capital gains are subject to higher tax rates.

Certainty: Consistent, because once the price of the transacted property is fixed and its holding period is recorded, the amount of STCGT can be calculated with certainty.

Economy: Inconsistent, because the cost of developing the new computer system was huge.

@2

max: 4

[Mark the **FIRST TWO** points only.]